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Chapter 10

Sales Analysis Overview



Introduction

Sales Analysis lets you produce your own views of sales information, so you can make comparisons and identify trends that are vital to strategic planning.

One of the great strengths of Sales Analysis is the extent to which you are able to tailor the system to your own requirements without the need for any programming. This flexibility starts with the Sales History Database (which you define), along with the level at which Sales History is held. You choose the formats of enquiry, you can create a new view of the information quickly and easily without the need for data processing personnel.

You can create reports using simple prompts, these can then be requested on a regular basis, or create ad-hoc reports to answer enquiries.

Relationship to Other Applications

Sales Analysis uses primary data held in the Inventory Management and Sales Order Processing applications.

Inventory Management holds item details, including data such as item type, item group, division and sub-division.

Inventory Management also contains a database of codes and descriptions, used to maintain an abbreviated code for such details as item group, or salesman, together with a meaningful description. The great benefit of the description database is that it enables a consistent and easily validated use of codes, and provides for a meaningful description at report or enquiry time.

Customer details are held within Sales Order Processing, including data such as salesman, territory, and customer class.

You can use Sales Analysis data in Forecasting. Forecasting takes the sales quantities as demand on which to base the generated yearly forecasts. If Forecasting is going to be implemented and Sales Analysis used for demand you should take the following points into account.

- Forecasting uses three user defined data elements for each item: Stockroom Code, Minor Product Group and Quantity.
- Sales Analysis can hold quantities in the Inventory item master issue unit of measure or the item stockroom issue unit of measure. If you plan to transfer the generated forecasts to the Distribution Requirements Planning application, choose to hold demand quantities in Sales Analysis, in the Inventory item master issue unit. This is because Distribution Requirements Planning expects forecasts to be in this unit.

Sales Analysis also interfaces with Style, when installed the additional features that form an integral part of Style are included, and displayed within the Style Matrix. This is particularly relevant to enquiries and reports.

Company Profile

As with all applications, You can use Sales Analysis for number of companies, each with differing requirements. For each company that uses Sales Analysis, you need to maintain a profile, with details such as the name of the company and the level at which sales history is to be held.

Calendar

To maintain independence from financial or manufacturing time periods, Sales Analysis has it's own calendar, which holds the dates on which sales weeks or periods end. This enables Sales Analysis to allocate each sale to the appropriate period, according to its date.

Budgets

You can define Budgets in Sales Analysis with two main characteristics, a type and a format.

The type is an overall classification, such as Budget, Target or Forecast. The format describes the attribute or attributes to which the budget relates. For example, it is possible to have a Target for Salesman, salesman being a possible item on the Sales History database, or a Forecast for Customer account by Item group.

You enter Budgets by Sales History Period for a type and format previously defined. You can use Spread Profiles to help create the budgets - where you can spread an annual total over the year's sales periods according to a known pattern.

Sales Analysis reports enable the comparison of budgeted values with actual sales.

The Sales History Database

This is designed to enable a high level of tailoring to individual requirements without programming changes.

When the application is installed, you can choose the customer and item data elements that you wish to hold on the database. Along with the item code, customer code and sales period, you can choose six data elements relating to the Inventory Management “item master”, and six relating to the Sales Order Processing “customer master” file. Quantity, Cost and Sales Value are also held, with provision for four further values.

You may also choose to change the screen and report headings for the data elements held on the database. For example, if you use Item type, to indicate whether an item is “made in” or “bought out”, you can change the heading to say just that. This change is incorporated within the database itself, allowing full utilisation of third party query utilities, which will print your chosen column headings.

Updates and Processing

Sales History Update

Actual sales history is drawn from the Sales Order Processing invoice data. The Sales History Update function takes this data and adds it to the Sales History Database, using the calendar to determine the appropriate sales period.

You can run this as often as required, the actual frequency depending upon how up-to-date the Sales history needs to be.

Sales History Refresh

Sales Analysis enables you to selectively refresh customer or item data on the database if there is a change.

For example, if you re-organise your sales regions, so customers fall into different locations, after updating your customer data in Sales Order Processing, you can use the Sales History Refresh option to bring the Sales History Database in line with this re-organisation. So, Sales Analysis could show past sales to customers in their new regions if you required.

Periodic Updates

Whilst Sales Analysis has no pre-defined month-end reports, there are functions that allow you to run whatever regular reporting you require.

As you create your own reports, the system prompts to specify whether the reports are run on a regular basis, for example daily, or at month end. The daily, weekly, period-end, and year-end update functions select those reports you have requested, and produce them at the appropriate time.

These regular updates also maintain the current period and year, held on the company profile.

Enquiries

Sales Analysis provides a powerful enquiry function, to create a view of any data element on the database, analysed in terms of any other data item. You can choose the values displayed from the values on the database, and you can define the time periods in a variety of different ways.

You can create a new view simply by asking for an analysis that has not previously been used, and the application will then offer to create it.

The Sales Enquiry provides you with four columns of values, chosen by means of a number of formats, created and set up at installation time.

A format specifies the time periods to be displayed, together with the particular value to be displayed.

For example:

Time Period: This period, Last period, 3 periods ago, 4 periods ago

Value: Sales Value.

Or:

Time Period: This period, Last period, This year, Last year

Value: Quantity.

To enquire on sales history, in a chosen format, you must enter two items:

- The data element on which to enquire.
- The data element by which to analyse.

For example, an enquiry on salesman 01 by item group, would show a breakdown by item group of salesman 01 sales. You can then advance the enquiry to show the next salesman's sales by item group, and so forth.

You have the option to invert the display, to show the sales of a selected item group by all salesmen, and thus view product group by salesman, to see the sales by all salesmen of a particular item group.

You also have the option of viewing a graphical representation of this data using the bar chart function.

Reports

Sales Analysis contains report generator functions you can use to specify your own reports simply and quickly. You can create a report to run regularly, perhaps at month-end, or to run once to answer an ad-hoc enquiry.

Item File Print

This lists the items defined within Inventory Management, together with their attributes chosen for inclusion on the Sales History Database.

Customer File Print

This lists the Customers defined within Sales Order Processing, together with their attributes chosen for inclusion on the Sales History Database.

Report Specification Print

This lists the specifications of reports defined within Sales Analysis.

Sales Report

You can run an existing sales report or create an ad-hoc sales report using a series of prompts. You use these prompts to specify the report's sequence, selection and content, and when the report is to be run. You can then save the report specification which is then available to be run regularly, or on request.

Ranking Analysis

You can use the Ranking Analysis function within Sales Analysis to sequence or rank elements by the results of a summarised value, and optionally, make comparisons between one period and another.

For example, you could choose to rank salesmen by sales value summarising their sales values in order. You might choose to compare this month's ranking with last month's, to see what changes have taken place.

You can also use the ranking function to work at a second level, and rank one element within another. For example you could rank item groups within region, showing the best selling item groups for each region.

Utilities

Sales Analysis contains a set of utility functions that are intended for use at application installation time, or under certain special circumstances.

Prerequisites

This deals with all the steps involved from the initial installation of the application to the production of the first enquiries and reports.

- You can install Sales Analysis as an additional module within an existing environment, or as part of a new installation. The logical pre-requisites are the same in both cases.
- As with other products, Sales Analysis is supported by Application Manager, which must be installed first.
- You need to install both Inventory Management and Sales Order Processing before Sales Analysis. It obtains details from Inventory Management about the items which are sold and obtains details of customers and invoice details (representing sales) from Sales Order Processing.
- In order for Sales Analysis to extract information about sales, the item details held within Inventory Management must be maintained so that the information for analysis is present. Likewise, the customer details required for analysis must be present within Sales Order Processing and some invoices must have been printed.
- To print some of the reports contained in Sales Analysis, it is necessary to use printers that support 198 character line widths.

Application Configuration

Before you can use Sales Analysis you have to configure the application by providing the system with information on your business procedures.

These details can be split into five areas:

- Basic Data.
- Database.
- Budgets.
- Sales History.
- Technical Configuration.

Entering Basic Data

You must initialise your application by entering the following basic data.

- Company Profile - You must create a company profile for each company that is to use the application. This contains processing details specific to each company, and the current year and period, maintained by period-end routines.
- Calendars - Sales Analysis provides information grouped by sales period, whereas invoices are created as individual dates. In order for invoices to be placed in the appropriate period, a calendar is used.

You must create Calendars before you start processing. If you choose to hold history at a weekly level, you should create calendars for both week and period for all years which you intend to process.

- Sales History Time Period Selection - The information shown on the Sales Analysis enquiry is determined by the creation of formats.

These formats define the time periods and the values which will be shown, and must be created before any attempt is made to use the enquiry function of Sales Analysis.

A default format 1 is used by the application, and therefore, this at least must be created.

Database

Central to the Sales Analysis application is its database, which must be defined before processing is to start.

- Change Initial Field Descriptions - Within Sales Analysis, data elements or fields have internal names, which cannot be altered, and external names by which they are identified to system operators. You can use the Change Initial Field Descriptions function to step through the data elements, and change the names or descriptions of these in order to suit a particular installation.
- Define Database - You must create the database before you start processing. You should consider the data elements which you wish to hold before you create the database. See Sales History Database.

Budgets

You can choose to maintain budgets in Sales Analysis and compare budgets with actual sales in reports. You can choose to run the application without budgets initially and introduce them later. A budget is defined with a budget format and a budget type.

- **Definition** - To describe the data element(s) to which a budget applies, a format must be created. This also determines the kind of value to be held, for example, cost value or sales value.

The Budget Format function should be used to create the formats you require.

- **Spread Profiles** - The Spread Profiles function helps you define the pattern of sales over a year, by period. You can create a number of profiles to aid budget entry.
- **Budget Entry** - You can enter Budgets for a year, against the data elements defined by the budget format, for the values also specified by the format.

You can use Spread Profiles to spread an annual total over all periods in a year.

Sales History

Sales Analysis draws its information on sales from data within Sales Order Processing. For processing to start, you must have printed invoices using Sales Order Processing.

- **Updating Sales Analysis** - The Sales History Update function takes printed invoice data and posts the information to the Sales History Database. Once posted, the invoices are marked as such and will not be included in subsequent updates. If large volumes of data are involved this function may take some time to complete.
- **Enquiry** - The Sales Enquiry function will prompt you to enter a data element on which to enquire, and to select a data element by which to analyse. The first time a new enquiry combination is selected, the system will build summary data, but there after the enquiry will be performed straight away.
- **Reporting** - Sales Analysis enables you to create your own Sales Reports and Ranking Analysis Reports.

The Reports Specifications and Ranking Analysis Specification functions allow you to define reports quickly and easily. They may be created and run as part of the specification maintenance, or they may be selected by name at a later time, or included in the regular update runs.

Technical Configuration

- **Library For User-Created Objects** - Sales Analysis creates program and file objects during its execution. These must be directed to a specific library. A data area called SAUSRLIB contains the name of the library in which these objects will be placed. The default supplied by the system will be the file library (OSLD1F3) containing the Sales Analysis files.
- **Bar Chart Characters And Colours** - The characters to be used in the Enquiry bar chart are contained in the data area SABARCHARS, in hexadecimal, and the display attributes are held in the data area SABARCHCOL. These both contain default values, which you may change to tailor the bar chart display.

Expert Menu Codes

You can access any menu in any linked application to which you are authorised by simply keying in the expert mode menu code of the menu you want from a command line.

This is done by entering a "/" followed by the code, for example, /SAM (for the Sales Analysis Maintenance menu). The Sales Analysis codes are as follows:

Code	Menu
/DS	Customer Service and Logistics Initial Menu
/SA	Sales Analysis Initial menu
/SAP	Sales Analysis Processing menu
/SAM	Sales Analysis Maintenance menu
/SAE	Sales Analysis Reports and Enquiries menu
/SAU	Sales Analysis Utilities menu

The codes have been designed to be easily memorised. However, if you do forget a code, you can still enter the menu the normal way, and once there, the menu code is displayed in the top left hand corner.

You can go straight into a program by selecting the option number and menu at the same time. Simply enter the option number followed directly by a "/" and then the expert menu code. For example, instead of keying /SAM to get to the Maintenance menu and then taking option 4 to maintain calendars, simply keying 4/SAM takes you into the option. This is very convenient once the options you use most have become familiar to you.